



UNIVERSITY OF THE PUNJAB

B.S. 4 Years Program: Fifth Semester – 2021

Paper: Advance Microeconomics

Course Code: ECON-301A

(RE-CONDUCT)

Part – II

Roll No.

Time: 2 Hrs. 45 Min. Marks: 50

ATTEMPT THIS (SUBJECTIVE) ON THE SEPARATE ANSWER SHEET PROVIDED

Q.2. Write short notes on the following:

(5x4=20)

- Pareto Efficiency
- Risk Diversification
- First fundamental theorem of welfare economics
- Walras' Law
- Moral Hazard

Answers the following questions.

(3x10=30)

Q3: Consider a game of football with the following pay-offs: [10]

		Kicker	
		Kick left	Kick right
Goalie	Save Left	1,0	0,1
	Save right	0,1	1,0

The probability that the goalie will save right is π_G . Find the mixed-strategy Nash equilibrium.

Q4: A common issue in our country is that households dump their waste on the street. [10]

- What is the negative externality/externalities associated with this behavior?
- How can the government regulate this externality by taxing?
- How can the government regulate this externality by allocating property rights?

Q5: Every year, millions of Pakistanis attain legal working age of 16 years, thus becoming eligible to join the labor force. However, the employers are unable to differentiate between a good and a bad worker [10]

- Discuss how this is a problem of asymmetric information for the employer.
- How can college / university education act as a signal to mitigate this problem?



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B.S. 4 Years Program / Fifth Semester – Fall 2022

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THE ANSWERS MUST BE ATTEMPTED ON THE ANSWER SHEET PROVIDED

Q.1. Write short notes on the following:

(6x5=30)

- a) Non cooperative versus cooperative Games.
- b) Edgeworth Box.
- c) Measures for Free Rider problem
- d) Risk Spreading.
- e) Moral Hazards.
- f) Asymmetric information.

Answer the following questions.

(3x10=30)

- Q. No. 2 Consider a Pay off Matrix of Prisoners Dilemma, given as under

		Prisoner A	
		Confess	Not Confess
Prisoner B	Confess	A : 3 Years B : 3 Years	A : 06 Months B : 10 Years
	Not Confess	A : 10 Years B : 06 Months	A : 2 Years B : 2 Years

Discuss Nash equilibrium and Dominant Strategy in this case.

- Q. No. 3 State and prove the condition for Pareto optimum in exchange.
- Q. No. 4 Describe First and Second Fundamental laws of Welfare Economics.

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B.S. 4 Years Program / Fifth Semester – Spring 2022

Course Code: ECON-301A

Roll No.

Time: 3 Hrs.

Marks: 60

THE ANSWERS MUST BE ATTEMPTED ON THE ANSWER SHEET PROVIDED

Q.1. Write short notes on the following:

(6×5=30)

- Pay off Matrix
- Pareto Efficiency
- Free Rider problem
- Risk Premium
- Fair and Unfair Insurance.
- Asymmetric Information.

Answer the following questions.

(3×10=30)

- Discuss Nash equilibrium in respect of "Prisoners Dilemma".
- Explain Global Risk Aversion and measure of relative risk aversion.
- Describe attributes of Public goods.





UNIVERSITY OF THE PUNJAB

B.S. 4 Years Program / Fifth Semester – Fall 2023

Paper: Advance Microeconomics

Course Code: ECON-314

Roll No.

Time: 3 Hrs.



THE ANSWERS MUST BE ATTEMPTED ON THE ANSWER SHEET PROVIDED

Q.1. Write short notes on the following:

(6x5=30)

- i. Pareto Improvement
- ii. Nash Equilibrium
- iii. Pay off Matrix
- iv. Pareto Efficiency
- v. Moral Hazard
- vi. Free Rider problem

Answer the following questions.

(3x10=30)

- Q.2. Why does price leadership sometimes evolve in oligopolistic markets? Explain how the price leader determines a profit-maximizing price.**
- Q.3. Discuss the Inefficiency of Competition with Externalities.**
- Q.4. Explain the Stackelberg's model of duopoly.**

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THE ANSWERS MUST BE ATTEMPTED ON THE ANSWER SHEET PROVIDED

Q.1. Give short notes on the following.

(6x5=30)

- I. Coase Theorem
- II. Pareto efficiency
- III. Subgame perfect equilibrium
- IV. Moral hazard and adverse selection
- V. Dominant Strategies and Nash Equilibria
- VI. The State-Preference approach to choice under uncertainty

Answer the following questions.

(3x10=30)

✓ Q:2 Discuss the Lindahl Pricing of Public Goods.

✓ Q:3 Explain the General equilibrium of consumption using Edgeworth box diagrams and also derive utility possibility curve.

✓ Q:4 Show that if an individual's utility-of-wealth function is convex, he or she will prefer fair gambles to income certainty and may even be willing to accept somewhat unfair gambles. Do you believe this sort of risk-taking behavior is common? What factors might tend to limit its occurrence?